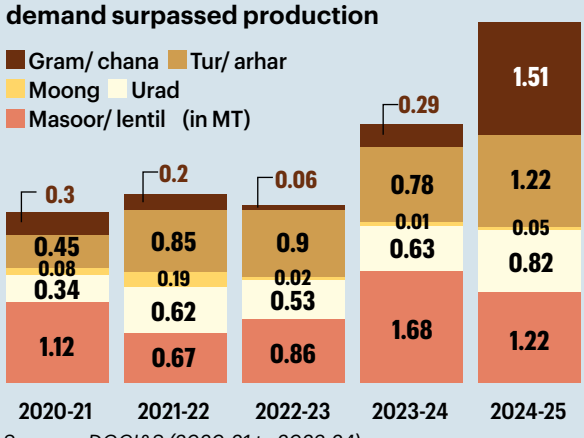


CHANDRADEEP KUMAR

IMPORT BASKET

FROM FIELDS BEYOND

Overseas purchases surged as domestic demand surpassed production

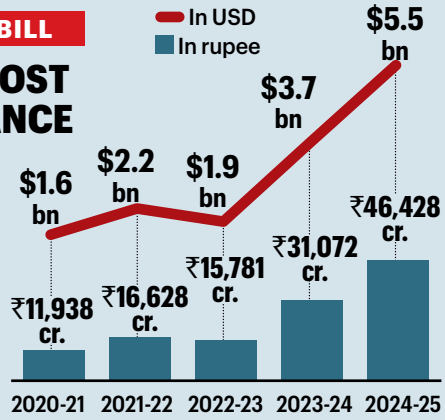


Sources: DGCI&S (2020-21 to 2023-24); market-year trade data estimates (2024-25)

IMPORT BILL

HEAVY COST OF RELIANCE

India's pulses import bill has nearly quadrupled in five years



Source: GoI

$ values are annual average exchange rates of respective years

Morocco, Australia, Indonesia, Malaysia, Jordan, Canada, Algeria, Egypt and Togo.

The third route is to cut waste. India's fertiliser use is skewed towards urea because it is cheap, familiar and creates that partly illusory greening effect. But overuse of nitrogen and underuse of phosphorus, potash, sulphur and micronutrients damage soil health and lower fertiliser efficiency. In 2023, the Modi government launched PM-PRANAM, under which states are to get back 50 per cent of the fertiliser subsidy they save by reducing chemical fertiliser use and promoting organic and bio-fertilisers. But the scheme has yet to gather momentum.

The deeper reform—direct cash transfer of fertiliser subsidy to farmers—has been debated for decades. Today, subsidies are hidden in the fertiliser price, especially urea, making it artificially cheap and encouraging overuse, diversion and non-farm misuse. Union agriculture minister Shivraj Singh Chouhan recently revived the idea of transferring the roughly Rs 1.7 lakh crore fertiliser subsidy directly into farmers' accounts.

But the risks are formidable. If fertilisers are sold at market price and the cash comes later, small farmers may face a cash-flow squeeze. Tenants and sharecroppers may be excluded if payments follow land titles. Trust is the final barrier: a recent NITI Aayog evaluation found that while 95.5 per cent of surveyed farmers had bank accounts, only 36.4 per cent preferred direct cash transfer. The Economic Survey's fix—modestly raise urea prices and transfer the difference per acre—is economically sound, but a per-acre flat rate comes with severe handicaps: highly varying crop and soil type needs, India's land mapping mess et al. No government would want to decontrol an essential input during a price spike. The reform has never been more compelling—or more politically distant.

The Missing Pulse

If the war has done one useful thing, it is to reopen questions India has been avoiding for 40 years. Why does the world's largest producer of pulses also remain its largest importer? That's mainly because decades of Green Revolution-era policy have created an entrenched habit that's proving hard to kick: only rice and wheat fetch guaranteed sales at a minimum support price (MSP). Millions of farmers rely on them for income predictability, they cover 36 per cent of India's entire cultivable land, and we get mountains of grain—275 MT at last count. That's a clear surplus, enough for India to be a net exporter, have enough buffers left to support food welfare for 800 million, and still have enough left to divert some for ethanol. To see how carb-heavy this diet is, contrast it with the poverty of protein through pulses.

India had over 90 per cent self-sufficiency in pulses in the 1980s. That has been on a downward slope, as import dependence rose to about 29 per cent by 2015-16. Today, duty-free imports of tur, urad, masoor and yellow peas meet 15-20 per cent of our needs, helping stabilise retail prices. Imports have risen by 190 per cent from 2.5 MT in 2020-21 to a record 7.3 MT in 2024-25, while the import bill has jumped from Rs 11,938 crore to Rs 46,428 crore, a 290 per cent increase in the